

CREDIT ASSESSMENT MEMORANDUM

TO: Credit Committee
FROM: Credit Analyst, Agribusiness Lending
DATE: 27 May 2026
RE: Term Loan Facility - Mallet Ridge Pastoral Co.

CLASSIFICATION: Internal – Confidential

DISCLAIMER: This memorandum has been prepared for portfolio and skills demonstration purposes using publicly available benchmark data applied to a fictional borrower. Mallet Ridge Pastoral Co. is a fictional entity created solely for illustrative purposes. This analysis does not constitute financial, credit, or investment advice.

1. FACILITY SUMMARY AND MARKET CONTEXT

The Facility

Mallet Ridge Pastoral Co. has applied for a \$1,500,000 seven-year term loan to finance a structured machinery replacement programme at its broadacre cropping operation in the Shire of Merredin, Central Wheatbelt, Western Australia. The facility part-funds the acquisition of a John Deere X9 1100 combine harvester \$1,200,000 and a Case IH Early Riser 2160 precision planter and air cart system \$500,000, with a \$200,000 trade-in credit applied against legacy equipment, resulting in a net funding requirement of \$1,500,000.

The facility represents a deliberate capital investment to reduce operating costs and mitigate harvest risk - two objectives directly relevant to current market conditions.

Current Market Context

This assessment is prepared against a backdrop of material input cost pressure facing WA broadacre cropping operations in May 2026. Ongoing disruption to shipping through the Strait of Hormuz - through which approximately 30% of global urea supply flows - has tightened global fertiliser markets, with urea and diesel identified by Rabobank's Agribusiness Outlook (May 2026) as the most exposed inputs for Australian grain producers. Fertiliser prices are expected to remain elevated for at least six months.

Concurrently, ABARES' March 2026 Agricultural Commodities Report forecasts a 13% decline in the gross value of Australian wheat production in 2026-27, driven by global oversupply and easing grain prices. Dry conditions and declining soil moisture across WA cropping regions are documented in ABARES' Weekly Update No. 19/2026 (21 May 2026), presenting additional downside risk to production volumes in the current season.

These conditions directly inform the stress scenarios in Section 4 and underpin the conditional nature of the recommendation in Section 5.

2. BENCHMARK FARM PROFILE

The Borrower

Mallet Ridge Pastoral Co. is a multigenerational family farming operation established in 1980, managed by the Edwards family through Edwards Agribusiness Holdings Pty Ltd. The business operates 5,200 hectares of contiguous freehold land in the Shire of Merredin, averaging 314 millimetres of annual rainfall. The operation is managed by three family members supported by two permanent employees and three seasonal workers.

The enterprise is primarily a winter cropping operation - wheat, barley, canola, and lupins - with a secondary Merino wool enterprise on 600 hectares of permanent pasture. Grain is marketed through CBH Group's Merredin receival facility and Kwinana terminal, with boutique malt barley sold directly to Bunge Australia and GrainCorp.

Financial Benchmark

In the absence of Mallet Ridge's proprietary financial records, this assessment applies ABARES farm survey benchmark data for WA cropping farms as a representative financial proxy. All figures reflect per-farm averages in real 2024-25 dollars.

ITEM	2022-23	2023-24	CHANGE
TOTAL CASH RECEIPTS	\$6,269,290	\$4,066,460	(35%)
TOTAL CASH COSTS	\$4,030,780	\$3,088,030	(23%)
FARM CASH INCOME	\$2,238,510	\$978,440	(56%)
FARM BUSINESS PROFIT	\$1,893,480	\$290,580	(85%)
FERTILISER COST	\$1,060,910	\$781,810	(26%)
CASH MARGIN %	35.7%	24.1%	(11.6pp)

Source: ABARES Farm Data Portal, WA Cropping industry, 2023-24. Expressed in real 2024-25 dollars.

The 2023-24 year represents a significant compression from the prior commodity price boom. Farm cash income fell 56% as receipts declined 35% while costs fell only 23% - reflecting the structural rigidity of the farm cost base relative to revenue volatility. Despite this, 2023-24 farm cash income of \$978,440 remains near the seven-year average of \$1,073,410, indicating the farm is not in financial distress but operating with a thinned margin buffer.

Asset and Security Position

The borrower's real estate asset base is estimated at \$22,760,000, based on RaboResearch's Australian Farmland Price Outlook (April 2026), with the WA arable state median of \$6,330 per hectare adjusted downward to reflect Merredin's 300-400 millimetre rainfall zone. The proposed facility of \$1,500,000 represents a loan-to-value ratio of approximately 5.4% against real estate assets - a negligible capital exposure from a security perspective.

3. BASE CASE DEBT SERVICEABILITY

Facility Pricing and Debt Service

The facility is priced at 7.01% per annum, consistent with the RBA indicator rate for new small business loans as at March 2026 (RBA Statistical Table F7). On a seven-year straight-line amortisation schedule, Year 1 annual debt service totals \$319,436, comprising \$214,286 principal and \$105,150 interest. Year 1 is used as the conservative basis, as debt service declines in subsequent years as the principal balance reduces.

Debt Service Coverage Ratio - Cash Income Basis

Metric	Value
Farm cash income (2023-24)	\$978,440
Annual debt service - Year 1	\$319,436
DSCR - Cash income basis	3.06x
Minimum acceptable threshold	1.25x
Headroom above threshold	1.81x

Source: ABARES Farm Data Portal, WA Cropping 2023-24. RBA Table F7, March 2026.

A DSCR of 3.06x is well above the standard agribusiness lending covenant threshold of 1.25x. On this measure the facility appears comfortably serviceable.

Debt Service Coverage Ratio - Conservative Basis

Farm cash income is a pre-depreciation measure that overstates true economic earning capacity. A more conservative assessment uses farm business profit as the numerator:

Metric	Value
Farm business profit (2023-24)	\$290,580
Annual debt service - Year 1	\$319,436
DSCR - Conservative basis	0.91x
Minimum acceptable threshold	1.25x
Below threshold by	0.34x

Source: ABARES Farm Data Portal, WA Cropping 2023-24.

The conservative DSCR of 0.91x is below the 1.25x minimum threshold before any stress is applied. This is the central analytical tension in this assessment: the farm generates sufficient cash flow to service the proposed facility, but it is not generating sufficient economic profit to fully support the debt on a business profit basis. The 2023-24 gap of \$687,860 between farm cash income and farm business profit reflects substantial depreciation and non-cash cost burdens, compounded by an 85% year-on-year fall in farm business profit from the prior boom year. This makes covenant protection essential, as discussed in Section 5.

4. Stress Test Results

Three stress scenarios are applied to the 2023-24 benchmark financials to assess serviceability under adverse but plausible conditions. Each scenario is grounded in a documented historical episode or a current market development supported by published research. Scenarios are applied independently, with a combined shock testing simultaneous pressure across both key variables. All other cost and revenue components are held constant.

Scenario 1: Revenue Decline 30%

A 30% decline in total cash receipts is directly anchored in the ABARES WA Cropping benchmark, which recorded a 35% fall in receipts between 2022-23 and 2023-24. ABARES' March 2026 forecasts and documented dry seasonal conditions in WA present further downside risk to 2026 production volumes.

Metric	Base Case	Scenario 1
Total cash receipts	\$4,066,460	\$2,846,522
Total cash costs	\$3,088,030	\$3,088,030
Farm cash income	\$978,440	(\$241,508)
DSCR - Cash basis	3.06x	Negative
Verdict	Conditional approval	Decline

A 30% revenue decline renders farm cash income negative before debt service is considered.

Scenario 2: Fertiliser Cost Increase 40%

A 40% fertiliser cost increase is conservative relative to the 84% increase recorded in the ABARES benchmark between 2020-21 and 2021-22 following post-COVID supply chain disruption. Rabobank's May 2026 Agribusiness Outlook documents urea spot prices rising 8% and phosphate prices rising 20% month-on-month in April 2026, with prices expected to remain elevated for at least six months.

Metric	Base Case	Scenario 2
Total cash receipts	\$4,066,460	\$4,066,460
Fertiliser cost	\$781,810	\$1,094,534
Total cash costs	\$3,088,030	\$3,400,754
Farm cash income	\$978,440	\$665,706
DSCR - Cash basis	3.06x	2.08x
Verdict	Conditional approval	Conditional approval

The facility remains serviceable under this scenario, with DSCR declining from 3.06x to 2.08x - still above threshold but representing material compression.

Scenario 3: Combined Shock - Revenue -20% and Fertiliser +30%

This scenario tests a simultaneous moderate decline in revenue and increase in fertiliser costs - less severe than Scenarios 1 and 2 individually, but directly consistent with the risk environment described by ABARES and Rabobank for 2026-27.

Metric	Base Case	Scenario 3
Total cash receipts	\$4,066,460	\$3,253,168
Fertiliser cost	\$781,810	\$1,016,353
Total cash costs	\$3,088,030	\$3,322,573
Farm cash income	\$978,440	(\$69,405)
DSCR - Cash basis	3.06x	Negative
Verdict	Conditional approval	Decline

A moderate simultaneous shock is sufficient to push farm cash income below zero.

Summary of Stress Test Results

Scenario	Revenue change	Fertiliser change	Farm cash income	DSCR	Verdict
Base case	-	-	\$978,440	3.06x	Conditional approval
Scenario 1	(30%)	0%	(\$241,508)	Negative	Decline
Scenario 2	0%	+40%	\$665,706	2.08x	Conditional approval
Scenario 3	(20%)	+30%	(\$69,405)	Negative	Decline

Source: ABARES Farm Data Portal WA Cropping 2023-24. Scenarios modelled by analyst. All other cost components held constant.

Two of three scenarios produce negative farm cash income. The combined shock scenario - moderate by historical standards - is sufficient to render the facility unserviceable. Given that ABARES and Rabobank both identify this combination of lower grain prices and elevated input costs as the primary risk environment for 2026-27, the forward outlook for debt serviceability is materially weaker than the base case DSCR of 3.06x suggests.

5. RECOMMENDATION AND CONDITIONS**Recommendation: Conditional Approval**

It is recommended that the Credit Committee approve the \$1,500,000 term loan facility for Mallet Ridge Pastoral Co., subject to the conditions set out below.

The base case serviceability position is adequate: farm cash income of \$978,440 covers annual debt service of \$319,436 at a DSCR of 3.06x, well above the 1.25x minimum. The security position is strong, with an estimated LVR of 5.4% against real estate assets of \$22,760,000. The capital investment being financed is commercially sound, with increased harvest throughput directly addressing the risk of weather-related grain quality downgrades.

Unconditional approval is not recommended for three reasons. First, the conservative DSCR of 0.91x is below threshold at base case, indicating the facility is being approved on the basis of cash flow adequacy rather than full economic profit coverage. Second, two of three stress scenarios produce negative farm cash income, including a combined scenario of moderate severity directly consistent with the 2026-27 risk environment. Third, the current convergence of easing grain prices, elevated fertiliser costs, and dry seasonal conditions across WA cropping regions materially increases the probability of stress conditions materialising within the facility term.

Conditions of Approval

Condition 1 - Forward grain sales requirement

Prior to drawdown, the borrower must demonstrate forward sales contracts covering a minimum of 40% of estimated 2026 winter wheat production at a price sufficient to cover total cash costs at benchmark levels. This condition directly addresses the primary stress scenario by locking in a minimum revenue floor before funds are advanced.

Condition 2 - Annual DSCR covenant

The facility agreement must include an annual DSCR covenant requiring farm cash income to be no less than 1.10x annual debt service, tested at each financial year end using actual financial statements. A covenant breach should trigger a facility review rather than automatic acceleration. The threshold is set at 1.10x rather than the standard 1.25x to reflect the benchmark nature of the financial data underpinning this assessment.

Condition 3 - Input cost management requirement

Prior to drawdown, the borrower must provide evidence of a fertiliser procurement strategy for the 2026 winter crop. This may take the form of a forward purchase agreement, a price-fixed supply contract, or a written agronomic plan demonstrating reduced nitrogen application rates consistent with the precision planting technology being financed.

Limitations

This assessment applies ABARES benchmark averages as a proxy for Mallet Ridge's financial profile. A complete credit assessment would require the borrower's actual financial statements for a minimum of three years, existing debt schedule, and a formal rural property valuation. The DSCR calculations presented here should be treated as indicative sector-level estimates rather than precise assessments of this borrower's specific financial position.

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Date: 27 May 2026

Data sources: ABARES Farm Data Portal; ABARES Agricultural Commodities Report March 2026; ABARES Weekly Update No.19/2026; RBA Statistical Table F7; RaboResearch Australian Farmland Price Outlook 2026; Rabobank Agribusiness Outlook May 2026; Bureau of Meteorology Merredin climate data.